

THE PHILIPPINES E-INVOICING READINESS PLAYBOOK 2026

From CAS to EIS: The Full Compliance Journey

A field guide for CFOs, Tax Heads, and CIOs at large taxpayers and enterprises in scope for Wave 1. It maps the statutory foundation, who is covered, the registration path, and what a compliant go-live actually requires under RR 11-2025.

31 Dec 2026

Wave 1 deadline: Large Taxpayers (LTS-registered), EOPT-classified Large Taxpayers, e-commerce, and CAS/CBA users

6 to 10 weeks

CAS plus EIS onboarding: sequential, not parallel

10 years

Mandatory invoice archival and retrieval period

50 to 100%

One-time setup-cost deduction under CREATE MORE

WHERE THE PHILIPPINES STANDS

A Live Mandate, a 6-to-10-Week Registration Clock, and a Partner-Shaped Problem

From 31 December 2026, every invoice you issue must reach the BIR as a signed, validated JSON payload, or it does not legally exist. The Bureau of Internal Revenue (BIR) is moving invoicing from a paper record into a data stream, and your ERP is now the point of compliance.

Under Revenue Regulations No. 11-2025, covered taxpayers must issue structured JSON invoices signed with a JWS/RS256 digital signature from BIR-registered software, and report that same data to the BIR's Electronic Invoicing System (EIS). A PDF is not an e-invoice.

"An emailed invoice is not an e-invoice. A scanned copy is not an e-invoice."

The Wave 1 issuance deadline is 31 December 2026 for Large Taxpayers, e-commerce, and any enterprise on a Computerised Accounting System (CAS/CBA). Because registration with the BIR is sequential and takes six to ten weeks, the practical window to start is now.

The core misconception

Many enterprises believe they already do e-invoicing because their invoices are digital. They do not. Generating a PDF from your ERP and emailing it is digitising paper, not structured e-invoicing. Under RR 11-2025, that gap becomes non-compliance on 31 December 2026.

WHY THIS MATTERS NOW

Four Ways the Mandate Hits Your P&L, Not Just Your Compliance Calendar

You lose input VAT the moment a payload fails validation.

A malformed JSON is not a "corrected later" event. The invoice is legally void, your buyer cannot claim 12% input VAT, and repeat offenders are named on the BIR non-compliance list.

One system error, three separate penalties.

Failure to issue, failure to transmit, and failure to maintain books are stacked offences under NIRC §§264 and 264-A. PHP 1,000 to PHP 50,000 per offence plus 2-to-4 years imprisonment exposure.

Your VAT return is now matched against your invoices in real time.

The BIR cross-references 2550Q filings against EIS-transmitted data automatically. A mismatch caught in year-end reconciliation becomes an audit letter in weeks.

The mandate pays back, but only if you claim it in the setup year.

CREATE MORE grants a one-time additional deduction on setup costs: 100% for micro/small, 50% for medium/large. Deferred spend means a deferred deduction.

HOW THE LAW GOT HERE

From NIRC Section 237 to the EIS Mandate

The e-invoicing rule did not appear overnight. It is the implementation of a decade of statutory groundwork, each layer expanding what the BIR can require of taxpayers.

● 2018 TRAIN Law	NIRC §237 & 237-A – the legal basis The TRAIN Law (RA 10963) amended the Tax Code to introduce Section 237-A, requiring e-receipts, e-invoices and electronic sales-data reporting for large taxpayers, exporters, and e-commerce. This was the seed of today's EIS.
● 2022 RR 8-2022	EIS pilot & the transmission framework RR 8-2022 operationalised Sections 237 and 237-A: CAS registration, sales-data transmission, and the pilot Electronic Invoicing/Receiving System. It defines the Wave 2 exporter cohort still awaiting its live date.
● 2024 EOPT · RA 11976	Ease of Paying Taxes – documents change EOPT made the Sales Invoice the primary VAT document and deprecated the Official Receipt for services (now the Billing Invoice). It also redefined the taxpayer size classes used to determine who is a "large taxpayer."
● Nov 2024 CREATE MORE · RA 12066	The mandate's engine – and its incentive CREATE MORE made structured e-invoicing and electronic sales reporting mandatory, and attached the one-time setup-cost deduction (100% micro/small, 50% medium/large).

2025 to 2026 – RR 11-2025 and RR 26-2025: the operative rules and the deadline. RR 11-2025 (27 Feb 2025) set scope, JSON format, and incentives. RR 26-2025 extended Wave 1 issuance to 31 December 2026. ESRS live reporting (the 3-day transmission window) activates under a separate, later regulation.

Are You in Scope? Taxpayer-Segment Mapping (EOPT / RR 8-2024 Classes)

SEGMENT	ANNUAL GROSS SALES	WAVE 1 STATUS	WHAT TRIGGERS COVERAGE
Micro	Below PHP 3 million	Exempt (may opt in)	Voluntary, 100% deduction if adopted
Small	PHP 3M to below PHP 20M	Covered	e-commerce / online seller, or CAS/CBA use
Medium	PHP 20M to below PHP 1B	Covered	CAS/CBA or invoicing software in use
Large	PHP 1 billion and above	Covered, Wave 1	LTS registration, EOPT-classified Large Taxpayers, e-commerce, or CAS/CBA

Coverage applies regardless of revenue size where CAS/CBA or invoicing software is in use. If any one branch is in scope, every location under that TIN must comply. Exporters and incentive-availing RBEs (Wave 2) join once the BIR's storing-and-processing system is live, under a separate regulation.

TWO TRACKS YOU CANNOT SEPARATE

What the Mandate Puts on Every Covered Taxpayer

TRACK A · ISSUANCE	TRACK B · REPORTING
Generate a Structured e-Invoice	Transmit to the BIR EIS
JSON plus JWS (RS256). Structured payload, digitally signed. No PDF, no plain email. BIR-registered software. Issued from a CAS/CBA or invoicing system holding a valid Acknowledgement Certificate. Direct to buyer. The buyer receives the invoice directly – a post-audit model with no BIR clearance gate.	ESRS, 3 calendar days. The same payload is transmitted via REST once ESRS goes live under its own regulation. PTT plus EIS Certificate. Permit to Transmit and Certificate are issued to the taxpayer, not the vendor. Idempotent retries & monthly recon. Retries keyed off the UIN; EIS data reconciled to books each month.

BEFORE YOU CAN INVOICE, TWO SEQUENTIAL BIR CERTIFICATIONS

STEP 1 · UPSTREAM	STEP 2 · DOWNSTREAM
CAS Registration → Acknowledgement Certificate	EIS Onboarding → PTT + EIS Certificate
Submit the CAS/CBA documentary pack (Annex B is the most complex) to your Revenue District Office. The BIR issues the AC only if the filing is complete. No AC means the BIR rejects every payload. Incomplete filing resets to zero.	A separate certification requiring joint UAT with the BIR. Only 4 IP addresses per PTT may reach the BIR production portal. Both steps are sequential. Allow 6 to 10 weeks; start about 3 months before go-live.

THE TECHNICAL GAP, SIX FIELDS STANDARD ERPS CANNOT PRODUCE OUT OF THE BOX

4 Discount Types Senior Citizen, PWD, Regular, Special – each a separate mandatory JSON field.	4 Withholding Buckets Income Tax, CWT, Business Tax, BPT – each a distinct line item.	Dual Currency Foreign currency amount and PHP equivalent both required when currency is not PHP.
TIN + Branch Code 9-digit TIN plus mandatory branch code. Branch 0000 is head office.	Freight Fields Airway Bill and Bill of Lading numbers/dates, required on all export invoices.	BIR Serial Range Invoice series registered before first use. Gaps or backdating trigger audit flags.

4–6 months

A realistic large-enterprise timeline from kickoff to go-live – gap assessment, ERP integration, testing and UAT with the BIR sit on top of the 6–10 week registration. **Document types have already changed:** the Billing Invoice replaces the Official Receipt for services, and every Credit/Debit Note must reference the original invoice UIN.

Every gap the BIR mandate exposes, ClearTax closes.

Purpose-built for tax compliance: 1B+ invoices a year, 50+ countries live, 5,000+ enterprise clients. Built for the scale and regulatory specificity of the Philippines mandate, not retrofitted onto a generic e-invoicing tool.

► WITHOUT A PURPOSE-BUILT PARTNER	✓ WITH CLEARTAX
Your ERP cannot produce BIR-specific fields, so every malformed payload is rejected, and no invoice legally exists.	All six BIR field sets auto-filled from existing ERP data. Zero custom development required.
The 9-document AC pack must be complete before a single invoice issues, and Annex B is the hardest.	ClearTax guides every document and produces Annex B on your behalf; AC submission managed end to end.
A single outage inside the transmission window pushes invoices past the deadline, even correctly issued ones.	Idempotent auto-retry keyed off the UIN, the same invoice ID on every retry, no duplicates to the BIR.
Only 4 IP addresses per PTT reach the BIR portal, so self-managed transmission risks slot exhaustion.	ClearTax manages transmission within your registered PTT slots, fully managed infrastructure.

Regulatory Assurance In-house PH tax team tracks every RR change; 4x faster go-live with the AI integration agent, zero IT effort for mandate upgrades.	Performance at Scale Auto-healing and deep validation, capacity for up to 10k invoices per second, and a 999% uptime SLA.	Delivery and Defence Continuous books-to-EIS reconciliation, BIR acknowledgement token on every invoice, 10-year retention.
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Independently audited and PH-aligned: SOC 2 Type II, ISO 27001:2022, ISO 22301:2019, VAPT by an independent third party, Philippines Data Privacy Act (RA 10173) aligned, AES-256 encryption at rest, Multi-AZ with local data residency, DR failover does not cross borders.

Ready to evaluate your Philippines readiness?

Get a personalised gap assessment, a BIR field-mapping walkthrough, and CAS registration guidance before your Wave 1 clock runs out on 31 December 2026.

[Talk to our expert →](#)